CHAPTER

8

International Economic Organisations

"Foreign capital infinitely prefers situations where the upside potential is vast, if risks must be taken to get in".

– Rudi Dorbush

Learning Objectives

1. To understand the role of international economic organizations in enhancing the magnitude of global business.
2. To know the objectives, functions and achievements of International Monetary Fund, World Bank and World Trade Organisation.
3. To study about the trade blocks, viz., SAARC, ASEAN and BRICS and their objectives, functions and achievements.

8.1 Introduction

In the previous chapter, we have studied the basis of trade, gains from trade, terms of trade, BoP and foreign exchange. When trade takes place among countries, the developed countries always stand to gain and the LDCs suffer from adverse terms of trade as well as balance of payments and they affect their exchange rates. The Great Depression of 1930s and World War II led to purely nationalistic policies in which almost every country imposed trade restrictions, exchange controls and exchange depreciation so as to boost exports and to restrict imports considerably.



John Maynard Keynes (right) and Harry Dexter White, the "founding fathers" of both the World Bank and the International Monetary Fund (IMF)

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